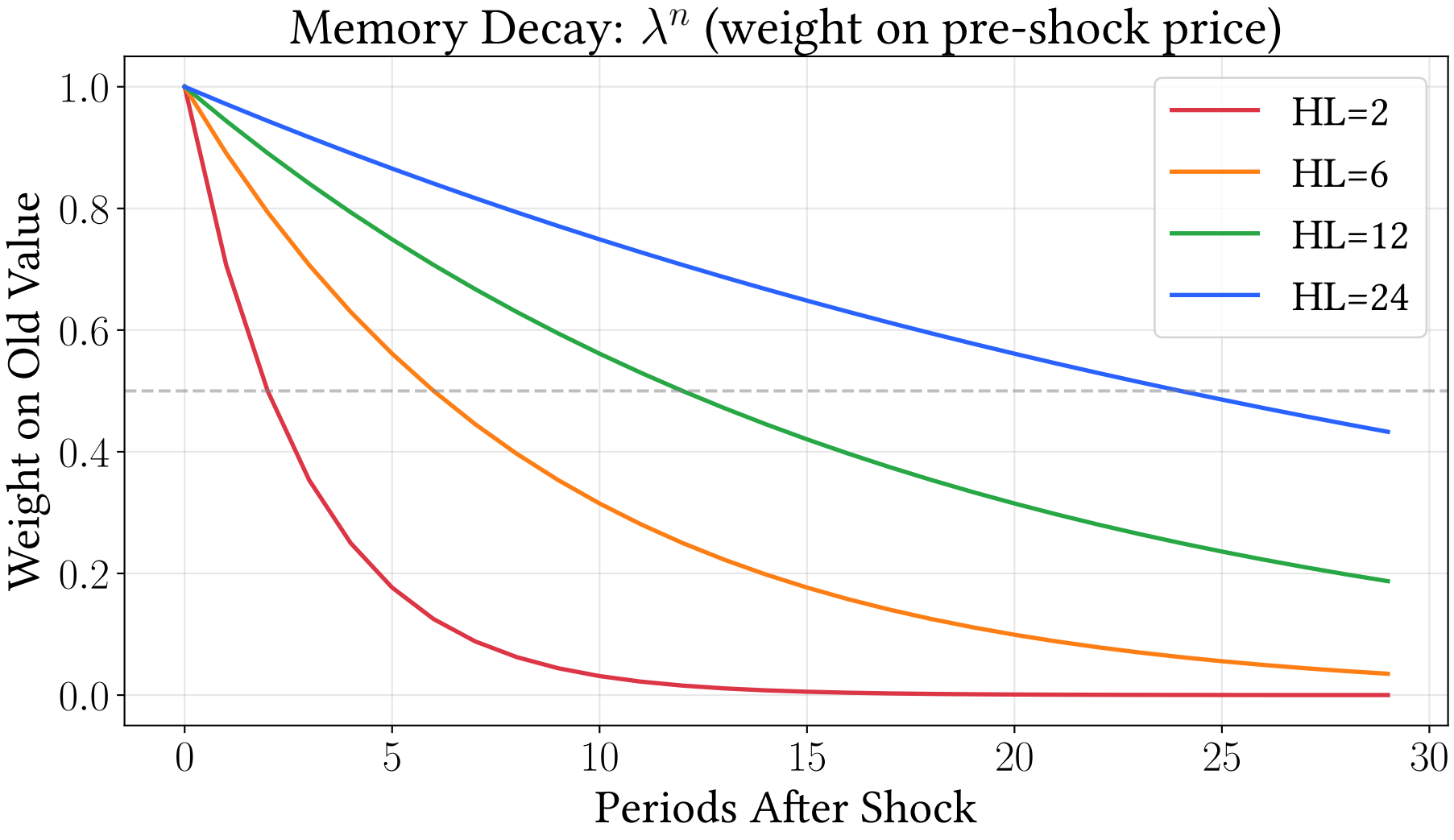
Memory Decay: λ^n (weight on pre-shock price)
Weight on Old Value
Periods After Shock
HL=2
HL=6
HL=12
HL=24
1.0
0.8
0.6
0.4
0.2
0.0
0
5
10
15
20
25
30